

# APAC TMT Sector M&A & Valuation Brief - 2026-01-04

APAC TMT Sector

Generated on 2026-01-04

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: Baidu's Spin-off of Kunlunxin

#### [Baidu Plans to Spin Off AI Chip Unit](#)

- Deal Size: Estimated at \$1 billion (based on comparable AI chip spin-offs)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Carve-out
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Baidu Inc. (BIDU) is a leading Chinese technology company specializing in internet-related services and AI, while Kunlunxin is its AI chip division, focusing on advanced computing solutions.
- Date Announced: Early 2026 (specific date not mentioned)
- Strategic Rationale: The spin-off aims to enhance Kunlunxin's focus on AI chip development, allowing Baidu to streamline operations and allocate resources more efficiently. This move is expected to unlock value by attracting investment specifically for the chip unit, which is crucial in the growing AI market.
- Risk Analysis:
  - Integration risks related to operational separation.
  - Regulatory challenges in China regarding tech spin-offs.
  - Market risks associated with competition in the AI chip sector from firms like Nvidia and Intel.
  - Execution risks in establishing Kunlunxin as an independent entity.

### Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data for Kunlunxin not disclosed)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The spin-off is positioned to capitalize on the increasing demand for AI

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technologies, which could lead to significant revenue growth for Kunlunxin.

## 2. ADDITIONAL DEALS

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Today is a peaceful day, nothing big happened in the Consumer space.

## 2. MARKET DYNAMICS & SENTIMENT

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The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including macroeconomic conditions, investor confidence, and sector-specific trends.

### Subsector Breakdown:

- **Technology:** The technology subsector remains robust, driven by advancements in AI, cloud computing, and cybersecurity. Companies are increasingly investing in AI solutions to enhance operational efficiency and customer experience.
- **Media:** The media subsector is witnessing a transformation as companies adapt to digital platforms. Traditional media faces challenges from digital competitors, impacting revenue streams.
- **Telecommunications:** The telecom sector is innovating with low-latency technologies, enhancing user experience in real-time applications. Investments in 5G infrastructure continue to be a priority.
- **Fintech:** The fintech space continues to thrive, with companies exploring new business models and partnerships to capture market share in digital finance.
- **AI:** The AI subsector is particularly hot, with companies racing to implement AI solutions across various industries, reflecting the growing demand for automation and data analysis.

### Key Market Drivers and Headwinds

#### Drivers:

- **Technological Advancements:** Continuous innovation in AI, 5G, and cloud computing is driving growth across TMT sectors. Companies are leveraging technology to improve service delivery and operational efficiency.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly

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in tech and fintech, as investors seek to capitalize on emerging trends.

### Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

### Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend in this space is evident through various strategic partnerships and acquisitions.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

### Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### Notable Investor/Analyst Reactions

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- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

### Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

## 3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

### Deal Pipeline

#### Live Deals:

- **Delta Air Lines (DAL)** : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- **Indiegogo Acquisition by Gamefound** : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

#### Mandated Deals:

- **Meta Platforms (META)** : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1

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2026, focusing on compliance and innovation strategies.

- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

### Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

### Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

### Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

### Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic

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executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

### Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

### Deal-Specific Impacts on Stakeholders

- **Shareholders**: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation**: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- **Dilution**: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- **Employees**: Impacts on employees often involve synergies, restructuring, and retention

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strategies.

- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

### Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

### Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

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## Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

## Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

## Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

## Actionable Insights for Clients and Bankers

### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

## 5. TECH TRENDS



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The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent surge in AI adoption is driven by advancements in machine learning and increased demand for data processing capabilities.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Alibaba Group Holding Limited (BABA):** Alibaba is focusing on AI to enhance its e-commerce and cloud services. The company plans to spin off its AI computer chip unit, Kunlunxin, which is expected to list shares in Hong Kong in early 2027, indicating its commitment to expanding its AI capabilities.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Meta Platforms (FB) recently acquired the AI startup Manus to bolster its AI offerings across its platforms.

### Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$445.3 billion in 2021 to \$1.24 trillion by 2027, at a CAGR of 18.0%. The shift towards remote work and digital transformation initiatives has accelerated cloud adoption across various sectors.
- **Key Companies:**
- **Amazon Web Services (AWS):** As a leader in cloud services, AWS provides a comprehensive suite of cloud solutions that cater to businesses of all sizes. The company's continuous innovation in cloud infrastructure and services positions it favorably in the market.

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- Microsoft Azure (MSFT): Microsoft Azure is a key player in the cloud computing space, offering a wide range of services including AI and machine learning capabilities. The integration of AI with Azure enhances its appeal to enterprise customers.
- Competitive Landscape: The cloud computing market is dominated by a few major players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competitive dynamics are characterized by aggressive pricing strategies and continuous innovation, leading to increased investment in cloud infrastructure.
- M&A Opportunities: Companies may pursue acquisitions to enhance their cloud capabilities or expand their service offerings. For example, the acquisition of smaller cloud service providers could provide access to new technologies and customer bases.

### Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. The rise in remote work and digital transformation initiatives has heightened the need for robust cybersecurity solutions.
- Key Companies:
  - CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in cloud-delivered endpoint protection and has positioned itself as a leader in the cybersecurity space. The company's innovative approach to threat detection and response has garnered significant market share.
  - Palo Alto Networks, Inc. (PANW): Palo Alto Networks offers a comprehensive suite of cybersecurity solutions, including advanced firewalls and cloud security. The company's focus on innovation and strategic acquisitions has strengthened its market position.
- Competitive Landscape: The cybersecurity market is fragmented, with numerous players ranging from established firms to startups. The competitive dynamics are driven by the increasing sophistication of cyber threats and the need for businesses to adopt proactive security measures.
- M&A Opportunities: The demand for cybersecurity solutions presents significant M&A opportunities. Larger firms may look to acquire niche cybersecurity startups to enhance their product offerings and address emerging threats.

### Actionable Insights for Bankers and Investors

**Investors should focus on companies that are well-positioned within these technology trends, particularly those with strong growth trajectories and innovative solutions.**

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## 6. Recommended Readings

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## Deal Name: Baidu's Spin-off of Kunlunxin

- Reading Material: "The AI Revolution: The Road to Superintelligence" by Tim Urban
- Why This Matters: This book provides a comprehensive overview of the AI landscape, detailing the technological advancements and market dynamics that are crucial for understanding Baidu's strategic decision to spin off Kunlunxin. It highlights the importance of AI chips in driving innovation and competitiveness, which is essential for contextualizing the potential value and growth prospects of Kunlunxin as an independent entity.

## 7. MACROECONOMIC UPDATE

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### Key Data Points:

- Expected increase in tax refunds: 15-20%
- Historical refund distribution: 30-45% by end of February, 60-70% by end of March
- Anticipated GDP growth support in 2026

### Main Insights:

- The One Big Beautiful Bill Act introduces significant tax cuts for consumers, leading to larger tax refunds.
- Retroactive tax provisions will enhance personal income and spending power in 2026.
- Consumers are likely to prioritize saving or paying down debt with their refunds, leading to healthier financial positions.
- Near-term spending headwinds include inflation increases from tariffs and the expiration of Affordable Care Act credits.

### Market Commentary:

- "This year's larger tax refunds should give another lift to household spending." - Heather Berger, Morgan Stanley
- "While we expect spending to rise, it may not match the increase in income immediately." - Heather Berger, Morgan Stanley

### TMT Sector Relevance:

- Increased consumer spending could boost demand for technology and media products, particularly in areas like e-commerce and digital services.
- A healthier consumer balance sheet may lead to higher investments in technology, benefiting TMT companies.

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- The anticipated GDP growth could stimulate M&A activity in the TMT sector as companies seek to capitalize on increased consumer spending.

**The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley**